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Technology as an SIU enabler

The claim that Europe faces a cost problem is not ideological—it is empirical. Analyses by the EC and ESMA, as well as a robust body of academic research, show that average fund fees in Europe exceed those in comparable markets, and that penetration of low-cost ETFs remains materially lower than in the US.

In theory, high fees should invite competitive entry and price compression. In practice, EU retail financial markets do not behave like textbook competitive markets.

Two structural frictions explain why:

Imperfect and asymmetric information: Retail investors often lack the tools or financial literacy to meaningfully compare products across providers.

Switching costs: it is costly—financially and behaviourally — for investors to change providers or asset managers.

A real life example: a friend of mine, an economist, found the perfect UCITS for him: an equity fund investing in sustainable EU companies with excellent ratings and very low management fees. He then went to find out who sold that in Spain. Not an easy

task. After extensive online searching, he located a bank who distributed that fund and began the onboarding process as a new client. This involved KYC checks, suitability questionnaires, opening a current account he did not need, another app in the phone, another password to remember, even a credit card he did not need but the bank would send anyway. Now he owns the fund, but his portfolio is divided across two financial institutions, with no integrated view, separate tax information, separate statements and different performance metrics. One could argue that it is almost heroic to find the best products, even for financially literate clients.

Today, every single one of those burdens, which prevent effective competition to deploy its effects, are addressable through technology.

Retail investors lack reliable, comprehensive, and freely accessible technological tools to compare financial products across providers - and especially across Member States. In practice, most EU investors only see what their bank distributes.

As an analogy, in other sectors—most notably energy and telecommunications—regulators have recognised long ago that competition cannot function without comparability. Once standardised disclosures were mandated and publicly supported simulators integrated all tariffs into a single interface, competition intensified. Offers became directly comparable, and switching became materially easier.

The financial sector remains far behind. Yes, regulators have invested significant effort in data standardisation (EET templates, PRIIPs KIDs, EPT datasets, etc). But standardisation without accessibility does not suffice.

If switching costs are the problem, portability is the solution. A genuinely portable investor profile—covering KYC, risk tolerance, investment objectives, and ESG preferences—could dramatically reduce duplication and friction. The same logic applies to mandating access to aggregators and comparison tools. This approach was included in the Commission's proposals under the "open finance" heading, but sadly the debate ultimately went to the hard limits on inducements and value for money.

In the design of the individual investment account that some Member States are considering, this concept of portability and multi-provider combination would be essential to avoid investors becoming captive to a single incumbent provider.

That said, technological infrastructure alone will not neutralise all distortions. Even with perfect comparison tools and seamless portability, conflicts of interest and behavioural biases would not disappear. For that reason, framing the debate as "technology versus regulation" might be misguided. A more compelling framing would be "technology supporting regulation."

An equally important dimension of retail empowerment is market access itself. Emerging technologies—particularly AI, blockchain infrastructure, and tokenisation—are reshaping how, when, and through whom retail investors access financial markets.

For instance, trading hours of traditional financial instruments are under pressure from crypto markets. This can entail benefits for investors, but also risks for

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the system as a whole. Agentic AI can radically transform the retail investor experience, making the process of finding a provider - and even onboarding - much easier and faster.

IOSCO is actively working in these areas to offer the global guidance needed for regulators and firms and address the potential risks.

From a SIU perspective, emerging technologies can be as powerful as regulation - especially when two work jointly - by increasing retail participation, lowering access barriers, enhancing cross-border integration, reducing costs and supporting EU financial autonomy.